JUSTIFICATION TO RESTRICT COMPETITION (below SAT)

Pursuant to Revolutionary FAR Overhaul (RFO) 12.102, for acquisitions valued at or below the simplified acquisition threshold (SAT) using RFO 12.201-1 Simplified Procedures for commercial products and services, the Contracting Officer (CO) hereby documents the decision that only one source is reasonably available.

1. **Agency and Contracting Activity.**

   U.S. Department of Health and Human Services
   Indian Health Service, Albuquerque Area Office

2. **Name and Address of Only Source.**

   Hybrid Plumbing and Boiler Specialists, LLC (HPBS)
   465 Reid Road
   Datil, New Mexico 87821

3. **Description of Supplies/Services and Estimated Cost.**

   The boiler systems covered under this contract include two (2) RITE Engineering & Manufacturing Corp. hot water boilers, Model 300WGO, natural gas–fired, each rated at approximately 2.4 MMBtu/Hour, manufactured in 2007, and in operation at the Mescalero IHS (Mescalero Service Unit, MSU).

   Services include emergency repairs: Testing and replacement of temperature and pressure relief valves. Gauges are malfunctioning and need to be repaired or replaced. The backflow preventer has failed. Gaskets need to be replaced. Heat exchangers need to be cleaned, flushed, inspected and replaced where necessary. Fire pots need to be cleaned and gaskets replaced. Exhaust stacks need to be cleaned, and a combustion analysis needs to be completed every 5 years. The high-limit switches and low-water pump controllers, and two pumps need to be replaced. A 2-inch hot and cold-water mains each need a ball valve installed to allow crossover function when one boiler is being serviced. The main water heater does not functions and needs to be replaced. A purgeable sediment trap needs to be installed on the cold-water main feeding the boilers, with water heaters to protect the system. A pressure feed valve needs to be installed to eliminate manually feeding the boilers with water. The diesel backup system needs to be tested. The boilers will be restored to run in tandem approximately every 40 hours to ensure balanced operation. Water pH testing is also required. Additionally, the floor drains are not draining properly and require service. Annual preventive maintenance is required to ensure long-term operational safety and reliability. The quote for these services [redacted] for material, labor and tax on labor only.

4. **Description of Circumstances, including why only one source is reasonably available.**

   The boilers were designed to operate in an alternating cycle, where one will automatically start and the other will shut off. For several years, this had not occurred, so the maintenance team was manually switching them over.

In October of 2025, the Boilers were experiencing technical difficulties as the colder outside temperatures had set in. The primary boiler shut down and remains off. At the end of December, only the secondary boiler was functioning. Unfortunately, the secondary boiler failed on 1/02/2026 and the Lead Maintenance Mechanic had to go on emergency travel to address the issue that very day, which was on Friday, 1/02/2026. The Maintenance Mechanic was able to repair the secondary boiler with parts taken off the primary boiler, which is not the normal approach however, was necessary to bring the boiler back online. Fortunately, a p-card was used to get one of the boilers operational and a complete assessment of the two boilers was completed by HPBS on 1/08/2026.

The boilers are extremely important as they maintain heating to the entire clinic. Without the boilers the most severe damage would be caused by water and possibly sewer lines freezing and breaking.

IAW RFO 12.102(a), only one source will be solicited because of the urgency of this requirement. The boiler repair and annual maintenance must be performed immediately before the secondary boiler also fails. This office became aware of the requirement upon the initial failure of the primary boiler on December 29, 2025. The required annual inspection in accordance with ASME, OSHA and NFPA regulations, has not been met for several years. If both primary and secondary boilers shut down, there is no other means to heat the building. This would cause loss of revenue to the clinic to see patients, as well as severe damage to the infrastructure by cracking or breaking water lines, as well as sewer lines. If this were to occur, the water and sewer would cause significant costly damage to the building.

[redacted]

5. **Description of Market Research.**

[redacted] expressed a need to the boilers to be serviced. However, at that time I there was no answer and I performed more inquiries throughout the state for boiler services. During Week 1 of my search, I tried the number twice and it was unlisted. I also searched for them online and tried the same number listed but the call did not go through. During Week 2, I was referred to [redacted] and called the number listed on the internet. However, the three times I called to leave a message, no one returned my call and I was not able to leave a message. I was then [redacted] call them three times to finally get them to respond. During this time, I searched the internet again and found HPBS. I first called [redacted] said that I needed to get established as a customer. To get established as a customer, I needed to complete a form which was not sent until 12/29/2025, of which I sent back quickly on 12/29/2025. For the next several days I tried to follow up and on 1/05/2026, I finally received a response to let me know that they received my form. By 1/05/2026, HPBS let me know that they would travel down to the site to check the boilers the next day. Thereafter, I was told that my form was [redacted] received from HPBS. In the meanwhile, HPBS had already prepared to travel onsite by 1/05/2026.

SIGNATURES

PREPARED BY:

[redacted]

CONTRACTING OFFICER (CO) (RFO 6.104-1(a)(12)):

[redacted]